THE HOLDER IN DUE COURSE DOCTRINE AS A DEFAULT RULE

Gregory E. Maggs

32 Ga. L. Rev. 783 (1998)

[Course excerpt: Introduction (partial); Part II.A–B; Appendix. Assigned for background on the mechanics of the holder in due course doctrine only — the article's policy argument (Parts III–V) is not assigned.]

I. INTRODUCTION

The "holder in due course" doctrine, as implemented by Article 3 of the Uniform Commercial Code (U.C.C., or the Code), governs negotiable instruments such as checks and promissory notes. The doctrine says that a party who acquires a negotiable instrument in good faith, for value, and without notice of certain facts, and who also meets some additional requirements, takes the instrument free of competing claims of ownership and most defenses to payment. The doctrine thus may relieve a party acquiring a check or note from worries that anyone else owns the instrument or that its maker will have particular legal grounds for refusing to pay it.

For example, suppose that a person borrows money from a bank to buy a house and makes a note promising to repay the loan. The bank might later sell the note to an investor. If the note meets the formal requisites of a negotiable instrument, and the investor purchases the instrument in good faith and for value and without notice of various potential problems, the investor may qualify as a "holder in due course." The investor then will have assurance that no one else can claim an interest in the note, even if the bank has purported to sell the note to someone else. In addition, the investor will know that the homeowner has a duty to pay the note, even if the homeowner might have had a defense to payment against the bank such as fraud or failure of consideration.

II. AN OVERVIEW OF THE HOLDER IN DUE COURSE DOCTRINE

A. Immunity from Claims and Defenses

Ordinary contract law specifies that, unless otherwise agreed, the assignee of rights under a contract takes the rights subject to any defenses available against the assignor. For example, suppose that a business contracts to pay a furniture dealer $1000 for a desk and chair. The furniture dealer may assign its right to receive the $1000 payment to a third party, such as a bank. As an ordinary assignee, the bank would take the right to receive payment subject to any defenses that the business could assert against the furniture dealer. Thus, if the dealer failed to deliver the desk and chair and that failure would excuse the business from paying the dealer, it also would excuse the dealer from paying the bank as an assignee.

By contrast, the assignee of a negotiable instrument who has the status of a holder in due course generally takes the instrument free of the maker's defenses. Section 3-305(b) states, with one exception, that "[t]he right of a holder in due course to enforce the obligation of a party to pay the instrument … is not subject to defenses of the obligor … or claims in recoupment." The sole exception

provides that the maker of an instrument may assert so-called real defenses, such as infancy, duress, incapacity, illegality, fraud in the factum, or a discharge in bankruptcy.

For instance, suppose that the business in the example above issues a negotiable promissory note for $1000 to the furniture dealer and that dealer sells the note to a bank. If the bank qualifies as a holder in due course, then it could enforce the note against the business, and the business could not assert the dealer's failure to deliver the furniture as a defense to payment. The bank would take the note free of that defense, and the firm's only means of asserting its claim for nondelivery of the furniture would be to sue the furniture dealer for breach of contract.

In addition to taking an instrument free of defenses and claims in recoupment, the holder of a negotiable instrument also takes the instrument free of competing claims of ownership. Section 3-306 says that "[a] person taking an instrument, other than a person having rights of a holder in due course, is subject to a claim of a property or possessory right in the instrument …." By contrast, a "person having rights of a holder in due course takes free of the claim to the instrument." To understand this rule, suppose in the example above that, after the business issues the note to the furniture dealer but before the dealer sells it to the bank, a thief steals it and sells it to a finance company. Under section 3-306, if the finance company qualifies as a holder in due course — if it purchases the note in good faith, without notice of the theft, and so forth — the finance company will then own the note. The dealer cannot recover it.

B. Requirements for Holder in Due Course Status

To become a holder in due course of a negotiable instrument, a party must first qualify as a "holder" of the instrument. This means that the person must have possession of the instrument, and the instrument must be payable to that person or payable to bearer. A party who satisfies the formal requirements of being a holder must then meet eight additional requirements, specified in section 3-302, to qualify as a "holder in due course." Seven of these eight requirements relate to the manner in which the person obtained the instrument. The other requirement concerns the appearance of the instrument.

First, the holder must give "value" for the instrument. Typically, a holder will give value by buying the instrument or taking the instrument as payment for a debt. A holder does not give value by merely promising to pay for an instrument; a promise constitutes value only "to the extent the promise has been performed."

Second, the holder must take the instrument "in good faith." The Code defines good faith as "honesty in fact and the observance of reasonable commercial standards of fair dealing." A holder who participates in a fraudulent scheme might lack good faith under this standard.

Third, the holder must take the instrument "without notice that the instrument is overdue or has been dishonored or that there is an uncured default with respect to payment of another instrument issued as part of the same series."

Fourth, the holder must take the instrument "without notice that the instrument contains an unauthorized signature or has been altered."

Fifth, the person must take the instrument "without notice of any claim to the instrument described in [s]ection 3-306" — that is, a claim of ownership, such as a claim by the payee that a bearer instrument was lost or stolen.

Sixth, the person must take the instrument "without notice that any party has a defense or claim in recoupment described in [s]ection 3-305(a)," which lists the various defenses a drawer or maker might have on a check or note.

Seventh, the holder cannot have taken the instrument in certain specified ways outside the ordinary course of business — for instance, by legal process, by purchase at a bankruptcy or creditor's sale, as part of a bulk transaction, or as successor to an estate or other organization.

Eighth, the negotiable instrument must have a proper appearance. When the holder takes the instrument, it must not bear apparent evidence of forgery or alteration or otherwise appear so irregular or incomplete as to call its authenticity into question.

APPENDIX

U.C.C. § 3-302. Holder in Due Course.

(a) Subject to subsection (c) and Section 3-106(d), "holder in due course" means the holder of an instrument if: (1) the instrument when issued or negotiated to the holder does not bear such apparent evidence of forgery or alteration or is not otherwise so irregular or incomplete as to call into question its authenticity; and (2) the holder took the instrument (i) for value, (ii) in good faith, (iii) without notice that the instrument is overdue or has been dishonored or that there is an uncured default with respect to payment of another instrument issued as part of the same series, (iv) without notice that the instrument contains an unauthorized signature or has been altered, (v) without notice of any claim to the instrument described in Section 3-306, and (vi) without notice that any party has a defense or claim in recoupment described in Section 3-305(a).

(b) Notice of discharge of a party, other than discharge in an insolvency proceeding, is not notice of a defense under subsection (a), but discharge is effective against a person who became a holder in due course with notice of the discharge. Public filing or recording of a document does not of itself constitute notice of a defense, claim in recoupment, or claim to the instrument.

(c) Except to the extent a transferor or predecessor in interest has rights as a holder in due course, a person does not acquire rights of a holder in due course of an instrument taken (i) by legal process or by purchase in an execution, bankruptcy, or creditor's sale or similar proceeding, (ii) by purchase as part of a bulk transaction not in ordinary course of business of the transferor, or (iii) as the successor in interest to an estate or other organization.

(d) If, under Section 3-303(a)(1), the promise of performance that is the consideration for an instrument has been partially performed, the holder may assert rights as a holder in due course of the instrument only to the fraction of the amount payable under the instrument equal to the value of the partial performance divided by the value of the promised performance.

(e) If (i) the person entitled to enforce an instrument has only a security interest in the instrument and (ii) the person obliged to pay the instrument has a defense, claim in recoupment, or claim to the instrument that may be asserted against the person who granted the security interest, the person entitled to enforce the instrument may assert rights as a holder in due course only to an amount payable under the instrument which, at the time of enforcement of the instrument, does not exceed the amount of the unpaid obligation secured.

(f) To be effective, notice must be received at a time and in a manner that gives a reasonable opportunity to act on it.

(g) This section is subject to any law limiting status as a holder in due course in particular classes of transactions.

U.C.C. § 3-305. Defenses and Claims in Recoupment.

(a) Except as stated in subsection (b), the right to enforce the obligation of a party to pay an instrument is subject to the following: (1) a defense of the obligor based on (i) infancy of the obligor to the extent it is a defense to a simple contract, (ii) duress, lack of legal capacity, or illegality of the transaction which, under other law, nullifies the obligation of the obligor, (iii) fraud that induced the obligor to sign the instrument with neither knowledge nor reasonable opportunity to learn of its character or essential terms, or (iv) discharge of the obligor in insolvency proceedings; (2) a defense of the obligor stated in another section of

this Article or a defense of the obligor that would be available if the person entitled to enforce the instrument were enforcing a right to payment under a simple contract; and (3) a claim in recoupment of the obligor against the original payee of the instrument if the claim arose from the transaction that gave rise to the instrument; but the claim of the obligor may be asserted against a transferee of the instrument only to reduce the amount owing on the instrument at the time the action is brought.

(b) The right of a holder in due course to enforce the obligation of a party to pay the instrument is subject to defenses of the obligor stated in subsection (a)(1), but is not subject to defenses of the obligor stated in subsection (a)(2) or claims in recoupment stated in subsection (a)(3) against a person other than the holder.

(c) Except as stated in subsection (d), in an action to enforce the obligation of a party to pay the instrument, the obligor may not assert against the person entitled to enforce the instrument a defense, claim in recoupment, or claim to the instrument (Section 3-306) of another person, but the other person's claim to the instrument may be asserted by the obligor if the other person is joined in the action and personally asserts the claim against the person entitled to enforce the instrument. An obligor is not obliged to pay the instrument if the person seeking enforcement of the instrument does not have rights of a holder in due course and the obligor proves that the instrument is a lost or stolen instrument.

(d) In an action to enforce the obligation of an accommodation party to pay an instrument, the accommodation party may assert against the person entitled to enforce the instrument any defense or claim in recoupment under subsection (a) that the accommodated party could assert against the person entitled to enforce the instrument, except the defenses of discharge in insolvency proceedings, infancy, and lack of legal capacity.

U.C.C. § 3-306. Claims to an Instrument.

A person taking an instrument, other than a person having rights of a holder in due course, is subject to a claim of a property or possessory right in the instrument or its proceeds, including a claim to rescind a negotiation and to recover the instrument or its proceeds. A person having rights of a holder in due course takes free of the claim to the instrument.